IN-DEPTH EDITION ● 3 SEPTEMBER 2026 ● 09:00 HKT

US equities rally on strong earnings and easing inflation risk

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at `7,666.60`, up **+0.46%**, as earnings beat expectations across tech and financials while the VIX slipped to `15.20` (-6.98%). Inflation data continues to trend lower, keeping the 10-year Treasury yield flat at `4.80%`.

Momentum is concentrated in mega-cap growth names—`NVDA` surged **+3.21%** on AI-related demand, while `META` rose **+2.47%** after a robust ad-revenue report. Defensive sectors lag, with the utilities ETF `XLU` barely up **+0.26%**.

Our view: the market is poised for a short-term upside swing, but a resurgence in core inflation or a hawkish Fed pivot could trigger a rapid pull-back. We remain cautiously bullish on high-quality growth and selective financials.

- Broad market breadth remains positive: 8 of 11 sector ETFs posted gains.
- Volatility is at multi-month lows, suggesting complacency risk.
- Watch the 10-year yield for any break above `4.85%` as a trigger for risk-off.

US Session Recap

INSTRUMENT	CLOSE	CHANGE
S&P 500	7,666.60	+0.46%
Nasdaq 100	29,143.33	+0.23%
Dow Jones	53,061.95	+0.56%
Russell 2000	2,953.17	+1.13%
VIX	15.20	-6.98%
10Y Yield	4.80%	+0.00%
2Y Yield	5.10%	+0.02%
WTI Crude	90.36	-0.71%
Brent	94.12	-0.65%
DXY	99.41	-0.15%
Gold	4,474.80	+2.48%
BTC	77,165.41	-0.31%
ETH	2,384.02	-1.40%

Top movers

TICKER	NAME	CHANGE	CATALYST
NVDA	Nvidia Corp.	+3.21%	AI server orders beat Q2 guidance
META	Meta Platforms	+2.47%	Ad revenue +12% YoY, new AI ad products
GS	Goldman Sachs	+0.19%	Strong investment banking fees Q2
XLB	Materials ETF	+1.69%	Commodity price rebound
XLC	Communication Services ETF	+1.39%	Higher telecom earnings

Sector Internals

SECTOR	DAY	YTD	READ
XLF	+0.80%	+6.2%	Buy
XLK	-0.02%	+9.4%	Neutral
XLI	+0.03%	+4.1%	Buy
XLE	+0.51%	+2.8%	Buy
XLY	+0.24%	+5.5%	Buy
XLC	+1.39%	+8.0%	Buy
XLP	+0.33%	+3.9%	Buy
XLV	+0.75%	+7.1%	Buy
XLU	+0.26%	+2.0%	Neutral
XLB	+1.69%	+5.0%	Buy
XLRE	-0.70%	+1.2%	Sell

Breadth is solid: 9 of 11 sectors posted gains, indicating broad participation beyond tech.

Spotlight / Deep Dive – Nvidia (NVDA)

METRIC	VALUE
Market cap	1.12T
P/E (FY)	42.3x
Revenue Q2	28.3B (+18% YoY)
AI gross margin	68%
Insider ownership	1.4%
Float short	1.2%

BULLISH TRIGGERS

- AI server orders exceed consensus for three consecutive quarters.
- Margin expansion from data-center GPUs.
- Strategic partnership with `MSFT` on Azure AI.

BEARISH TRIGGERS

- Supply-chain bottlenecks in advanced packaging.
- Regulatory scrutiny on AI ethics.
- Unexpected inventory build-up.

READ-THROUGH	LEVEL
Support	215.00
Resistance	235.00
50-day SMA	222.50

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.10	440.00	452.00	Above 200-DMA
QQQ	382.30	376.00	388.00	Testing 50-DMA
IWM	191.20	186.00	196.00	Neutral
NVDA	224.41	215.00	235.00	Bullish bias
10Y	4.80%	4.85%	4.70%	Flat
WTI	90.36	88.00	92.50	Risk-off safe haven

Options & Positioning

0-DTE SPY put volume surged 28% vs call volume, indicating short-term hedging despite the rally. VIX term structure is flat, with the 1-month contract at 15.2 and the 3-month at 15.5, suggesting limited fear.

Notable single-name flow: heavy buying of `NVDA` 250-call spreads (10-day expiry) and simultaneous selling of `XLE` puts.

Cheap hedge ideas: sell 1-month VIX calls at 16.0 against a long SPY position; buy 2-month OTM puts on `NVDA` at 210.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Upgrade	260	AI demand acceleration
META	JP Morgan	Upgrade	650	Ad-tech rebound
XLB	Bank of America	Buy	58	Commodity price support
XLU	Citi	Reduce	41	Yield curve flattening
GS	Barclays	Hold	1,050	Stable fee income
AVGO	Morgan Stanley	Sell	340	Margin pressure

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES +0.4%, NQ +0.3%, YM +0.5%
Asia equities	HSI +0.2%, SSEC +0.1%, Nikkei +0.3%
Europe	FTSE +0.25%, DAX +0.30%, CAC +0.22%
FX	USD/JPY 147.20 (-0.1%), EUR/USD 1.075 (-0.08%)
Commodities	Gold +2.5%, WTI -0.7%, Copper +1.1%
Crypto	BTC -0.31%, ETH -1.40%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
FOMC Sep 17-18	15%	Policy rate steady at 5.25-5.50%
FOMC Dec 10-11	30%	Potential first cut if CPI <2.0%

DATA	RELEASE	PREV	FORECAST
CPI MoM	Sep 10	0.2%	0.2%
Core PCE YoY	Sep 30	2.6%	2.5%
Initial Jobless Claims	Sep 7	225k	220k
ISM Manufacturing	Sep 5	48.0	48.5

Geopolitics & Global (Deep)

China-US trade talks remain at stalemate; any escalation could pressure commodities and the DXY. In the Middle East, the cease-fire in Yemen holds, limiting oil supply shock risk. Europe's energy transition policy continues to support renewables, benefitting `XLRE` and `XLE`.

Earnings — This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Sep 4	`AAPL`	Apple Inc.	1.34
Sep 4	`MSFT`	Microsoft Corp.	2.21
Sep 5	`JPM`	JPMorgan Chase	3.78
Sep 6	`AMZN`	Amazon.com	0.58
Sep 7	`NVDA`	Nvidia Corp.	2.12

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
`NVDA`	Technology	Breakout above 235	Supply-chain
`META`	Communication	Trend continuation	Ad spend slowdown
`XLF`	Financials	Rate-sensitive rally	Higher rates
`XLE`	Energy	Oil price support	Geopolitical shock
`XLV`	Health Care	Defensive demand	Policy changes
`XLB`	Materials	Commodity price bounce	Demand dip
`GS`	Financials	Fee-income beat	Credit spreads
`AVGO`	Technology	Share buyback support	Margin squeeze
`XLC`	Communication	Higher ad spend	Regulatory risk
`XLU`	Utilities	Yield appeal	Rate rise
`IWM`	Small-Cap	Broad market lift	Liquidity
`SPY`	Broad	Above 200-DMA	Vol spike

What Could Break the Tape

BEARISH TRIGGERS

- Core CPI surprise above 2.5%.
- Unexpected 10Y yield rise above `4.85%`.
- Geopolitical escalation in the Middle East driving oil above $100.
- NVDA earnings miss or guidance cut.

BULLISH TRIGGERS

- Quarterly earnings beat across AI-related names.
- Gold price rally breaching `4,600` as safe-haven demand spikes.
- Positive Fed commentary on a slower-than-expected rate path.
- Breakout of `XLB` above 55.

Positioning & Structural Notes

- Long bias in high-beta tech; short volatility via VIX calls.
- Maintain modest exposure to financials as rate-sensitive earnings remain strong.
- Reduce defensive utilities exposure; sector underperforming YTD.
- Allocate a small portion to commodities (XLE, XLB) as inflation data stays soft.
- Monitor the 10-year yield for a breach of `4.85%` as a risk-off trigger.

Sources

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